

Advanced Policy Behavior, Risk Handling & Claim Logic: Bajaj Allianz Life Insurance

This research document expands on the operational mechanics and risk management strategies employed by Bajaj Allianz Life Insurance, specifically focusing on term plans like **Smart Protect Goal** and **eTouch Online Term**.

1. Advanced Policy Behaviors & Variants

Beyond standard death benefits, advanced term plans incorporate logic-based variants that adapt to the policyholder's evolving financial landscape.

A. Dynamic Sum Assured Logic

- **Increasing Cover (Inflation Guard):** The sum assured increases by a fixed percentage (e.g., 5% or 10% per annum) without further underwriting. This is mathematically designed to preserve the "real value" of the payout against long-term inflation.
- **Decreasing Cover (Liability Linked):** Often used in "iSecure Loan" variants, the sum assured reduces in alignment with a scheduled loan repayment (like a home loan). The logic ensures that the family isn't "over-insured" (paying for unnecessary cover) while ensuring debt clearance.

B. Life Stage Protection (Event-Triggered Underwriting)

Under the "Life Stage Protection" feature, the system allows for a "top-up" of the sum assured upon specific triggers:

- **Marriage:** Typically allows a 50% increase in base cover (up to a cap, e.g., ₹50 Lakhs).
- **Childbirth/Adoption:** Usually allows a 25% increase for each of the first two children.
- **Home Purchase:** Allows a 25% increase to cover new mortgage liabilities.
- **Logic Benefit:** The primary advantage is the **waiver of fresh medicals**, meaning the insurer cannot deny the increase based on new health conditions developed after the original policy purchase.

2. Risk Handling & Underwriting Mechanisms

Underwriting is the "gatekeeper" logic that determines the sustainability of the risk pool.

A. Automated Acceptance Limit (AAL)

Bajaj Allianz uses an AAL—a threshold below which applications are processed with minimal medical evidence.

- **Threshold Factors:** Determined by age, income, and the specific plan variant.
- **Excess Underwriting:** Any sum assured exceeding the AAL triggers "Full Medical Underwriting," involving Tele-Medical Examination (TME) or physical tests (ECG, blood profile, etc.).

B. Risk Categories & Loadings

- **Preferred Non-Smoker:** Lower rates for those with no tobacco use for at least 36 months.
- **Standard Rates:** For healthy individuals with minor risk factors.
- **Sub-standard/Loading:** For individuals with pre-existing conditions (e.g., Diabetes with HbA1c < 8%). Instead of rejection, the "Diabetic Term Plan" logic applies a "loading" (extra premium) to account for the higher statistical probability of a claim.
- **Exclusions:** Hazardous occupations (e.g., deep-sea diving, industrial mining) or high-risk hobbies may lead to specific "Exclusion Clauses" where death resulting from those activities is not covered.

3. Advanced Claim Logic & Settlement

Claims are not just binary (Paid/Rejected); they follow a structured verification logic to prevent fraud while ensuring genuine beneficiaries are supported.

A. The "Speed" Logic: 1-Day Approval

Bajaj Allianz offers a **1-Day Claim Approval** for eligible policies. Eligibility criteria typically include:

- Policy duration > 3 years (Section 45 of Insurance Act protects against rejection after 3 years).
- Sum Assured within specific limits.
- All mandatory documents (Death Certificate, NEFT details) submitted before a daily cutoff time.

B. Early vs. Non-Early Claims

- **Early Claim (Death within 3 years of inception):** Triggers a mandatory investigation logic. The insurer verifies the "Proposal Form" against hospital records to ensure no "Non-disclosure of Material Facts" (e.g., hiding a chronic illness).
- **Non-Early Claim (Death after 3 years):** According to the Insurance Act 1938, a policy cannot be called into question for misstatement after three years except in cases of proven fraud. This provides high "claim certainty" for long-term policyholders.

C. Innovative Benefit Payout Logic

- **Lump-Sum:** 100% of the benefit paid immediately.
- **Monthly Income:** 50% paid as lump-sum, 50% paid as monthly income over 10 years (inflation-adjusted at 10% per annum).

- **Child Care Benefit:** Specific riders provide an additional monthly income specifically aimed at the education of minor children until they turn 21.

4. Financial Flexibility Features

- **Early Exit Value (Zero Cost Term):** A logic-based feature where the policyholder can exit the policy at a specific age (e.g., 60 or 65) and receive 100% of the premiums paid back, provided the policy is "level" and has run for a minimum duration.
- **Premium Holiday:** Allows the policyholder to skip premiums for 1-3 years during financial hardship without the policy lapsing, provided a specific "buffer" period has passed.

Summary of Logic Flow

Scenario	Feature Applied	Logic Trigger
Inflation spikes	Increasing Cover	Automatic annual increment
User gets married	Life Stage Protection	Manual request + Marriage Cert
Critical Illness Diagnosis	Waiver of Premium	Positive medical diagnosis
Claim after 4 years	Section 45	Presumption of truth; rapid payout
Diabetes (Controlled)	Loading	Premium adjustment based on HbA1c